



The Morning Brief

MAY 16, 2026

Strikes Loom

Weekend Edition — Friday's risk-off reversal closed a sticky-inflation week as Israel and the US reportedly prepare renewed strikes on Iran as early as next week.

S&P 500 (FRI CLOSE) \$739.17 · ↑~0.3% on week	BRENT CRUDE (FRI CLOSE) ~\$109 · ↑8.1% on week	NVDA (FRI CLOSE) \$225.32 · Earnings Wed	BITCOIN (LIVE) ~\$78,400 · Below recent range	FEAR & GREED 31 · Fear (from 43 Thu)
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SECTION 01

Markets — Week in Review

MARGINAL INDEX GAINS MASKED A VIOLENT FRIDAY REVERSAL — STICKY INFLATION, SURGING YIELDS, AND A BEIJING SUMMIT THAT UNDERWHELMED

The week closed with the S&P 500 and Nasdaq essentially flat (each up roughly 0.3% on the week per Reuters and CNBC coverage) and the Dow effectively unchanged, but the path was uneven. Records on Thursday gave way to a sharp Friday risk-off session as SPY closed at \$739.17 (–1.20%), the Dow at \$495.37 (–1.08%), and the Nasdaq at \$708.93 (–1.51%); the Russell 2000 led the give-back at –2.41%. The drivers per Reuters and Yahoo session coverage were a one-year high in Treasury yields following hot CPI and PPI prints earlier in the week, a Friday Empire State Manufacturing reading that came in materially above consensus with the highest prices-paid component since 2022, and a Trump–Xi summit close that produced limited substance against high expectations. TLT fell 1.48% on Friday; UVXY added 0.93%. Energy (XLE +2.36%) was the lone sector higher Friday as Brent extended its weekly gain past \$109; Materials (–2.65%), Utilities (–2.29%), and Tech (–1.80%) led the broader decline.

S&P 500 · DOW · **\$739.17 ↑~0.3% wk · \$495.37 ~flat wk ·**
 NASDAQ **\$708.93 ↑~0.3% wk**

FRIDAY REVERSAL **SPY ↓1.20% · Nasdaq ↓1.51% · Russell ↓2.41%**

BRENT **~\$109 · ↑8.1% on week per Reuters/Trading**
 CRUDE **Economics**

CPI · PPI (APRIL, **CPI 3.8% YoY (Est 3.7%, from 3.3%) · PPI**
 RELEASED THIS **↑1.4% MoM, ↑6.0% YoY — largest since**
 WEEK) **2022**

EMPIRE STATE **19.6 vs 7.3 est · Prices Paid 62.6, Received 31.8 —**
 (MAY) **highest since 2022**

FED **CME FedWatch ~98% no change June · BofA pushes cuts**
 PATH **to Jul/Sep 2027 · ~37% hike-by-YE odds per CNBC**

CARSON'S ACTIVE **SPY \$645.80 support · Untested (Friday**
 LEVEL **low \$737.96)**

**THE MACRO BACKDROP HARDENED — INFLATION IS STICKY,
 THE FED PATH HAS INVERTED, AND THE DIVIDEND SPINE IS
 BUILT FOR THIS REGIME**

The week's data pulled in a single direction. Wednesday's CPI of 3.8% YoY beat consensus by a tenth and accelerated from March's 3.3%; the same day's PPI of +1.4% MoM was the largest monthly advance since March 2022 per BLS, with the 12-month gauge of +6.0% the highest since December 2022. Friday's Empire State Manufacturing print of 19.6 (consensus 7.3) was its highest in four years per the New York Fed release, but the more material datapoint was that prices paid and prices received both reached their highest readings since 2022. Per CNBC coverage of post-PPI rate-path repricing, futures markets now imply roughly 98% probability of no Fed change at June and approximately 37% probability the next move is a hike rather than a cut; BofA Global Research has pushed its first cut forecast into 2027 per TheStreet. For the IOWN framework, the regime is the one the dividend sleeve (ABT, CL, NEE, GD, ATO, ADP, SYK) and physical-AI growth names (CVX, VLO, OKE, NVDA, TSM, MRVL) were positioned for — durable cash generation and physical-world demand into a higher-for-longer rate environment.

The week's data pulled in one direction: inflation is sticky, growth is durable, and the rate path has inverted from cuts to potential hikes. The dividend spine and physical-AI infrastructure positioning of the portfolio is consistent with this regime. Avoid Erosion.

Geopolitics

ISRAEL AND THE US REPORTEDLY IN INTENSE PREPARATIONS FOR RENEWED STRIKES ON IRAN AS EARLY AS NEXT WEEK — THE BEIJING SUMMIT DID NOT DELIVER AN OFF-RAMP

The dominant weekend development is The New York Times reporting, carried by The Times of Israel's May 16 liveblog and Haaretz's contemporaneous coverage, that Israel and the United States are in the most intense preparations since the April ceasefire for renewed strikes on Iran, with planners reportedly targeting readiness as early as next week. Per the same coverage citing US officials, options under consideration include placing ground commandos to extract nuclear material from buried facilities or to seize Kharg Island, Iran's primary oil export hub in the Persian Gulf. The reporting follows what Reuters and Al Jazeera characterized as a wall in Trump's Iran diplomacy: Tehran's response to the latest US ceasefire proposal, conveyed via Pakistan mediators on May 10 per Al Jazeera, was rejected by Trump as unacceptable, and Trump separately told Reuters his patience with Iran has limits. The Beijing summit produced limited substance against high expectations — China agreed to order 200 Boeing aircraft and US officials cited an expected ~\$10B/yr US agricultural purchase commitment per Reuters and CNBC, but Al Jazeera noted the US and Chinese summit readouts overlap only in narrow areas. The Israel-Lebanon ceasefire was extended 45 days per Reuters as Washington concluded parallel talks. If the renewed-strikes reporting is taken at face value, the operational picture would suggest the diplomatic window is now narrow.

BRENT CLOSED FRIDAY ABOVE \$109 AND ADDED 8.1% ON THE WEEK — THE IEA NOW WARNS THE OIL MARKET MAY REMAIN MATERIALLY UNDERSUPPLIED THROUGH OCTOBER EVEN IF THE CONFLICT RESOLVES NEXT MONTH

The energy backdrop is the most direct portfolio expression of the geopolitical risk. Per Trading Economics and Reuters coverage on Friday, Brent crude rose to approximately \$109.24/bbl (+3.33% on the day) and added 8.1% on the week as the Strait of Hormuz remained effectively closed; per the House of Commons Library briefing and the Strait of Hormuz monitoring data, open transits have fallen to near zero per day since May 6 versus roughly 138 vessels daily pre-crisis. Per the IEA monthly oil market report and Trading Economics coverage, crude and fuel flows through the Strait fell by approximately 4 million bpd in March and April; the agency warned the global oil market could remain materially undersupplied through October even if the conflict resolves next month. Iraq's Hormuz oil exports fell to roughly 10 million barrels in April from approximately 93 million monthly pre-war per Reuters reporting. The IOWN energy sleeve captured the move on Friday with CVX +2.39% to \$191.10, VLO +2.44% to \$250.74, and OKE +1.42% to

\$92.32; XLE was the lone winning sector at +2.36%. Brent (BNO) and WTI (USO) closed Friday at \$57.69 (+2.63%) and \$148.23 (+3.66%) respectively in the data drop.

RENEWED STRIKES REPORTING	NYT via Times of Israel/Haaretz · Most intense prep since April ceasefire · Readiness as early as next week
OPTIONS REPORTEDLY UNDER CONSIDERATION	Ground commandos to extract nuclear material · Seize Kharg Island oil hub per US officials cited by NYT
HORMUZ TRANSIT	~0/day since May 6 vs ~138/day pre-crisis per Commons Library/UANI
IEA WARNING	Market may remain materially undersupplied through October even if conflict resolves next month
BRENT CRUDE	~\$109 Friday close · ↑8.1% on week per Reuters/Trading Economics
IOWN ENERGY (FRI)	CVX ↑2.39% · VLO ↑2.44% · OKE ↑1.42% · XLE ↑2.36% (lone winning sector)
BEIJING SUMMIT	200 Boeing · \$10B/yr US ag · Iran no-nukes alignment · Limited readout overlap per Al Jazeera

On Our Radar

1. Week Ahead — NVDA prints Wednesday, May 20 with the China-thaw narrative already in the tape and Friday's reset

reducing the cushion. Per multiple sell-side previews carried by Tipranks, The Motley Fool, and TradingKey, consensus is approximately \$1.74–\$1.78 EPS on revenue near \$78.0–\$79.0 billion for fiscal Q1'27; Goldman Sachs expects a beat-and-raise quarter per Tipranks, and prediction markets imply roughly 90–97% beat probability. The setup matters: NVDA closed Thursday at a record \$235.74 (+4.39%) on the H200 export-approval headline, then gave back –4.42% Friday to \$225.32 alongside the broader risk-off. Per Yahoo and Benzinga session coverage and the May 15 brief, Beijing has separately guided Chinese firms to hold off on H200 purchases pending domestic alternatives; the print is the test of whether the Chinese demand narrative converts to backlog visibility or remains rhetorical. Commentary on Blackwell ramp, Rubin timing, and hyperscaler capex will set the tone for the entire AI infrastructure complex (MRVL, TSM, CRDO, AMD, LRCX). *Think Like an Owner.*

2. The renewed Iran strikes reporting is the binary catalyst that overrides everything else — Brent and the IOWN energy sleeve are positioned for the asymmetric outcome.

If The New York Times reporting carried by The Times of Israel and Haaretz on May 16 holds, operations could initiate as early as the upcoming week. The base case for energy markets had been a gradual diplomatic resolution path; the renewed-strikes scenario inverts that base case. Per the IEA report cited by Trading Economics, an undersupply gap of approximately 4 million bpd is already embedded in the physical market; an operation against Kharg Island would compound the disruption rather than relieve it. The IOWN sleeve's structural energy exposure (CVX, VLO, OKE, CTRA, CNX) was constructed to participate in this type of supply-shock asymmetry; defense exposure via LMT and GD provides a separate orthogonal hedge. *Research Reveals Opportunities.*

3. FOMC Minutes land Wednesday from the meeting that produced three dissents — after CPI 3.8%, PPI +6.0% YoY, and Empire State prices paid at 62.6, the market will read the minutes for hike risk rather than cut timing.

Per Trading Economics' week-ahead and the Federal Reserve calendar, the minutes are the marquee macro item alongside flash PMIs, housing starts, building permits, pending home sales, the NAHB Housing Market Index, and the University of Michigan consumer sentiment update. Per CNBC and CoinDesk coverage of the post-CPI repricing, the rate path has materially shifted; the dissents and the inflation-side dot evolution will be parsed closely. The earnings cohort beyond NVDA is consumer-heavy: Walmart, Home Depot, TJX, Lowe's, Intuit, and Deere — the read-across to consumer health and to the durable-spending environment matters for the dividend sleeve. ADI (IOWN dividend sleeve) also reports. *Avoid Erosion.*

4. Carson's active SPY support at \$645.80 remains untested with Friday's low at \$737.96 — the index sits roughly 12.6% above the retracement target as the Iran-strikes binary approaches.

The retracement framework set on April 13 remains intact. Friday's session compressed the cushion modestly (~12.6% versus ~13.7% at Thursday's close) but the structural margin remains substantial; the level continues to function as a meaningful downside reference if the geopolitical scenario materializes and the sticky-inflation regime extends. Fear & Greed dropped to 31 (Fear) from 43 on Thursday per the data drop — the sentiment indicator is now well below the index print, a divergence that has been a feature of this tape since the Beijing trip began. **The physical world matters.**

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